COURSE

Junior Cycle Business Studies (NCCA)

Sources of finance

Strand 2: Enterprise · 2.11 Sources of finance; Strand 1 · 1.5 Saving and borrowing

Revision for Strand 2: Enterprise: each firm works it out on its own deals, in euros.

Class **Junior Cycle Business Studies** Topic **Sources of finance**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Total to pay back**	TASK 2 **Short-term sources**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank total interest**	TASK 4 **Loan or overdraft**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Loan or own profit**	TASK 6 **Cheaper loan cost**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Same interest every year.

Total to pay back?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Loan	**€50,000**
Interest, each year	**3%**
Repaid over	**4 years**

METHOD

Total = loan + years × yearly interest

€50,000 + 4 × €1,500 = €56,000

Why: The loan costs €6,000 in interest.

Task 2

ROUND 1

You need €8,000 for three weeks to cover a gap.

Which two sources fit best?

PICK TWO

- ✔ **A bank overdraft**
- ○ A five-year bank loan
- ○ A mortgage
- ○ Selling shares
- ✔ **Trade credit from a supplier**

Why: Short-term needs suit short-term finance.

Task 3

ROUND 2

Three ways to borrow €10,000, simple interest.

Order by total interest, cheapest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Card: 24% a year for 3 months**
2. **Overdraft: 15% a year, 6 months**
3. **Loan: 8% a year for 2 years**

Why: Interest: €600, €750, €1,600.

Task 4

ROUND 2

Loan or overdraft?

Extra cost of the overdraft?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Money needed	**€20,000**
Loan interest, for the year	**4%**
Overdraft charge, a month	**€200**
You need it for	**7 months**

METHOD

Extra cost = months × overdraft charge − loan interest

7 × €200 − €800 = €600

Why: The overdraft costs €600 more here.

Task 5

ROUND 3

You want a €30,000 workshop ramp. You have €40,000 of profit kept in the firm, not needed elsewhere.

How should you pay, and why?

PICK A OR B AND GIVE A REASON

- ○ Take a loan at 9%
- ✔ **Use the profit kept in the firm**

Why: Retained profit costs no interest and need not be repaid.

Task 6

ROUND 3

Borrow €25,000.

Total cost of the cheaper loan, with fees?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Bank interest, each year	**7%**
Bank fee, one-off	**€400**
Credit firm, interest a year	**9%**
Repaid over	**4 years**

METHOD

Each loan: interest × years (+ fee); take the cheaper

Bank €7,400; credit firm €9,000; cheaper €7,400

Why: The bank is cheaper, even with the fee counted.

Final questions

6
questions for each pupil

50
questions in the Irish set

7
of them on sources of finance

The game draws 6 questions from the lesson topic "Loans and investments"; these 7 are about sources of finance.

1 The Growth Facility gives €50,000 at 10% interest. How much is repaid in total?
€55,000

2 The Stock Facility is €25,000 at 10% repaid in 2 instalments. How much is each instalment?
€13,750

3 You borrow €10,000 on the Quick Loan (10%, one instalment) to buy a car for €10,000 that sells for €13,000. After the loan and the VAT, what is left of the deal?
€1,439

4 Your firm took the Growth Facility: €50,000 in, €55,000 to repay. How does the loan show in the net position just after drawing it?
Cash up by €50,000, debt up by €50,000: the net position is unchanged by the draw.

5 You drew the Quick Loan (€10,000, 10%) and can repay now from cash. What does repaying early do?
It clears the €11,000 debt from the net position; the interest is still paid.

6 The Quick Loan is €10,000 at 10% in one instalment. What is the instalment?
€11,000

7 You take the Stock Facility (€25,000, 10%) to buy two cars for €12,500 each and sell them for €15,000 each. After interest and VAT, does the loan pay?
Yes: margins €5,000, minus €2,500 interest, minus VAT of €934, leaves €1,566.